

the New York Stock Exchange—only the ghostly vestige of a market. Because warrants are no longer commonly used by major companies, today’s investors should read the rest of Graham’s chapter only to see how his logic works.

* Today, the last remnant of activity in warrants is in the cesspool of the NASDAQ “bulletin board,” or over-the-counter market for tiny companies, where common stock is often bundled with warrants into a “unit” (the contemporary equivalent of what Graham calls a “package”). If a stockbroker ever offers to sell you “units” in any company, you can be 95% certain that warrants are involved, and at least 90% certain that the broker is either a thief or an idiot. Legitimate brokers and firms have no business in this area.

* The “notorious French assignats” were issued during the Revolution of 1789. They were originally debts of the Revolutionary government, purportedly secured by the value of the real estate that the radicals had seized from the Catholic church and the nobility. But the Revolutionaries were bad financial managers. In 1790, the interest rate on assignats was cut; soon they stopped paying interest entirely and were reclassified as paper money. But the government refused to redeem them for gold or silver and issued massive amounts of new assignats. They were officially declared worthless in 1797.

* Graham, an enthusiastic reader of Spanish literature, is paraphrasing a line from the play *Life Is a Dream* by Pedro Calderon de la Barca (1600–1681): “The greatest crime of man is having been born.”